



Course Outline

1. Course Identity

The information in this block should be exactly as approved by CUHK Senate. In case there are any differences, please explain in the table below.

Course code	ECO2011
Course title (English)	Basic Microeconomics
Course title (Chinese)	微观经济学基础
Units	3
Language of Instruction	English
Description (English)	This course covers the basic concepts of microeconomics. Major topics include: consumer preference and decision making, demand theory and applications, theory of the firm, perfect competition in partial equilibrium, monopoly, oligopoly, basic game theory, general competitive equilibrium, welfare economics, and market failure.
Description (Chinese)	本科讲授个体经济概念，主题包括：消费者偏好及决策、需求理论及应用、企业理论、局部均衡中之完全竞争、垄断、寡头垄断、基本博弈论、一般竞争性均衡、福利经济学及市场失灵。

2. Prerequisites / Co-requisites

A. Prerequisites

B. Co-requisites

3. Learning Outcomes

Upon completing this course, students will be able to:

1. Understand and explain basic economics concepts such as incentive, trade-off, comparative advantage and marginal costs.
2. Understand and apply the concepts of equilibrium and efficiency.
3. Use demand and supply to study markets and the effects of changing market conditions on market equilibrium.
4. Understand the definition of elasticity, calculate price elasticities and apply the



concepts to explain behavior.

5. Understand and use indifference curves and the budget line to study consumer choices and the effects of changing market parameters.

6. Understand and use the isoquant and isocost lines to study the cost minimization of firm productions.

7. Determine firms' output in a competitive market in the short run and in the long run.

8. Understand and analyze deadweight loss and government interventions.

9. Understand the monopoly problem and how monopoly maximizes profit.

4. **Course syllabus**

0. Introduction

Principles of Economics

Comparative advantage

1. The Demand-Supply Model and its Applications

Demand and Supply

Equilibrium

Comparative Statics

Elasticity

2. Efficiency, Welfare and Market Failure

Consumer and Producer Surplus

Government Intervention

Externality

Public Goods and Common Resources

3. Supply Analysis

Opportunity Cost

Production and Cost Functions

Profit-Maximization and Competitive Firms

Monopoly

4. Additional Topics

Indifference Curves and Consumer Choices

Game Theory

5. **Assessment Scheme**

Component/ method	% weight
Assignments and Quizzes	25



Mid-term Exam	25
Final Exam	50

6. Grade descriptor

General

Grade	Description
A	Outstanding performance on all learning outcomes.
A-	Generally outstanding performance on all (or almost all) learning outcomes.
B+, B, B-	Substantial performance on all learning outcomes, OR high performance on some learning outcomes which compensates for less satisfactory performance on others, resulting in overall substantial performance.
C+, C, C-	Satisfactory performance on the majority of learning outcomes, possibly with a few weaknesses.
D+, D	Barely satisfactory performance on a number of learning outcomes.
F	Unsatisfactory performance on a number of learning outcomes, OR failure to meet specified assessment requirements.

7. Feedback for evaluation

Formal Course and Teaching Evaluation
Informal feedback to instructor and/or teaching assistant
Departmental retreat and programme review

8. Reading

Required Reading

1.Principles of Economics, 1-11, 13-15, 17, 21, 978-9814915342, Mankiw, Gregory N., South Western Cengage Learning, 9TH EDITION, 2020, United States

9. Course components

Activity	Hours/week
Lecture	3
Tutorial	1



10. Indicative teaching plan

Week	Content/ topic/ activity
00000 00001	Introduction
00000 00002	Comparative Advantage
00000 00003	Demand and Supply
00000 00004	Market Mechanism
00000 00005	Elasticity
00000 00006	Consumer and Producer Surplus Government Intervention
00000 00007	Externality
00000 00008	Public Goods and Common Resources
00000 00009	Indifference Curves and Budget Lines
00000 00010	Consumer Choices
00000 00011	Production and Cost Minimization
00000 00012	Competitive Markets
00000 00013	Monopoly
00000 00014	Game Theory

11. Any other information

12. Version date

Version number	3
As of (date)	2023/06/27